

## ENGINE 2 — CLASS ACTION / PAGA ANALYSIS

Matter: Jing Abragan v. Allelo & Associates dba Palos Verdes Health Care Center

Prepared for: May / Smith Law Class Action Review

Engine: 2 (Class / PAGA viability) — does not override Engine 1

### ENTITY IDENTIFICATION

| Field                       | Value                                                                                                                                                                                                                                                |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Identified Entity           | Allelo & Associates, a California corporation d/b/a Palos Verdes Health Care Center                                                                                                                                                                  |
| EIN                         | Unknown — paralegal to confirm via Secretary of State                                                                                                                                                                                                |
| Address                     | 26303 Western Ave, Lomita, CA 90717 (facility); 9808 Venice Blvd Suite 706, Culver City, CA 90232 (mailing)                                                                                                                                          |
| Confidence Level            | High — confirmed via NPI registry, CMS/Medicare records, and UniCourt filings                                                                                                                                                                        |
| Industry                    | Skilled Nursing Facility / Long-Term Care (SIC 805, NAICS 623)                                                                                                                                                                                       |
| Workforce Profile           | Single-site SNF with 48 certified beds. Average 41.2 residents/day. CMS data indicates 3.33+ total nursing staffing hours per resident per day, consistent with 60–100 nursing/support staff. Client reports 30+ nurses and ~80–100 total employees. |
| Estimated CA Employee Count | Estimated 60–100 (single California facility)                                                                                                                                                                                                        |
| Estimated Total Workforce   | Estimated 60–100 (single-site operation)                                                                                                                                                                                                             |
| Employee Count Confidence   | Moderate — derived from CMS staffing ratios, 48-bed capacity, and client intake statement                                                                                                                                                            |

### DEFENDANT VIABILITY

- Financial strength:** For-profit corporation; Medicare & Medicaid certified since 1976. Annual Medicare billings modest (approx. \$537K in 2016 per public records), suggesting a small operator. However, as a licensed SNF with 48 beds and daily census of 41+, annual revenue is estimated at \$3M–\$6M based on typical California SNF daily rates (\$150–\$300/bed/day). Settlement capacity is limited but not negligible for a PAGA action.
- Ownership:** Allelo & Associates holds both direct ownership interest (5%+) and operational/managerial control per CMS ownership records. Authorized official: Hilarion Dimayuga (Manager). Single-entity ownership structure — favorable for a clean defendant profile.
- Settlement capacity:** Prior litigation history includes a personal injury settlement (Mona Bramley v. Palos Verdes Health Care Center, LA Superior Court, settled July 2022) and a regulatory action vs. CDPH (2020). Willingness to settle prior matters is an indicator of settlement capacity. However, as a small operator, aggregate PAGA penalties may represent a meaningful portion of annual revenue, which could incentivize settlement or create enforcement difficulty.
- Operational scale:** Single-site facility in Lomita, CA. One California location per client's Wage & Hour form. Single-site operations are favorable for class certification (common policies applied uniformly at one workplace). CAFA removal risk is low given small class size. Currently holds Special Focus Facility (SFF) Candidate status from CMS — indicating chronic regulatory deficiencies and heightened oversight.

### PAGA / LITIGATION HISTORY

#### PAGA Filing Search

- Company searched: Palos Verdes Health Care Center
- Date range: 06/09/2016 to 06/09/2026
- Search status: COMPLETE

## PAGA Filings Found:

| LWDA #              | Submission Date | Employer Name                                             | Employer City | Est. Impacted Employees | Plaintiff Firm      | Court Case #                                                  |
|---------------------|-----------------|-----------------------------------------------------------|---------------|-------------------------|---------------------|---------------------------------------------------------------|
| LWDA-CM-11580 18-26 | 02/18/2026      | ALLELO & ASSOCIATES d/b/a PALOS VERDES HEALTH CARE CENTER | Culver City   | 75                      | Zaghi & Chrzan, LLP | Not yet filed / pending (attachment: AP-6429662, PAGA Notice) |

- **Total filings identified:** 1
- **Earliest filing:** 02/18/2026
- **Most recent filing:** 02/18/2026
- **Repeat offender assessment:** No — only one filing in the 10-year search window. Not a repeat PAGA target.
- **Overlap/conflict risk:** MODERATE — A PAGA notice was filed by Zaghi & Chrzan, LLP on 02/18/2026, approximately the same time as client's termination (02/20/2026). This notice lists 75 impacted employees. If a representative action is filed, Smith Law must assess whether our client is an 'aggrieved employee' covered by that notice and whether there is a conflict or opportunity to join. Paralegal must determine if a civil complaint has been filed in court and monitor for class certification.

## Prior Wage/Hour & Regulatory Litigation (web search):

| Matter                                          | Year(s)   | Forum                                | Subject                                | Outcome                                                        |
|-------------------------------------------------|-----------|--------------------------------------|----------------------------------------|----------------------------------------------------------------|
| Mona Bramley v. Palos Verdes Health Care Center | 2019–2022 | LA Superior Court (Spring Street)    | Personal Injury                        | Settled (July 2022, confidential protective order)             |
| Yakov Gonchar v. Allelo Associates Inc. et al.  | Unknown   | LA Superior Court                    | Unknown (related docket found)         | Unknown — paralegal to confirm                                 |
| Allelo & Associates vs. CDPH et al.             | 2020–2021 | LA Superior Court / CA Supreme Court | Regulatory (CDPH deficiency challenge) | Unknown — suggests ongoing compliance disputes with regulators |

## PLAINTIFF / CLASS REP ANALYSIS

- **Role:** Charge Nurse (RN), 3–11 shift. Full-time, hourly at \$41/hr. As a Charge Nurse, client supervised floor nurses and had direct patient care responsibility. This role is highly typical of the nursing workforce in an SNF — not a supervisor-exempt position, but a front-line hourly healthcare worker with direct exposure to break and OT policies.
- **Tenure:** Nov 30, 2024 – Feb 20, 2026 (~15 months). Tenure is short but not disqualifying. Client was employed through the full relevant period for the Zaghi & Chrzan PAGA notice window. Short tenure may create typicality concerns for a class rep role — a longer-tenured co-plaintiff would strengthen certification.
- **Pay:** Hourly, \$41/hr. No bonuses or commissions per W&H form. Paid OT at time-and-a-half and double-time per client's self-report — which means employer appears to have been paying headline OT rates. However, client reports meal break waivers and missed rest breaks, which are potentially compensable as premium pay violations under Lab. Code §226.7.
- **Typicality:** MODERATE. Charge Nurse role is typical of the broader SNF nursing workforce. Client reports co-workers experienced similar break issues (W&H form: 'co-workers got rest/meal breaks as often as I did,' which suggests shared break conditions — though this response is ambiguous and could cut both ways). Pre-clock-in COVID temperature checks applied to all employees — a potential uniform off-the-clock exposure. Phone/radio carry requirement during breaks also reported as general facility policy.
- **Credibility/conflict:** NOTABLE RISKS. Client has an active Board of Nursing complaint history (later cleared), was constructively terminated under disputed circumstances, and has reported supervisor financial entanglement (DON borrowed money from client). These facts will be used by defendant to attack credibility and typicality. Individual FEHA claims (retaliation, whistleblower) will dominate the individual narrative and may complicate class rep positioning. The PAGA filer (Zaghi & Chrzan) filed a notice covering 75 employees — if that notice ripens into a representative action,

client's individual case may conflict with or be absorbed by the broader action.

- **Willingness:** Yes — client expressed willingness to move forward per intake form. However, emotional state during intake call indicates significant distress. Attorney should assess capacity to serve as class rep in addition to individual plaintiff.
- **Atypicality risk:** MODERATE-HIGH. Client's termination circumstances, BON complaint, personal supervisor conflict, and FEHA/whistleblower claims are highly individualized. These facts may dominate discovery and make class rep certification harder. A co-plaintiff with cleaner break/OT claims and no termination complexity would strengthen certification.

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## LEGAL CLAIM ANALYSIS

The strongest class/PAGA indicators in this intake are: (1) **meal break waiver irregularities** — client reports a nursing-specific waiver that she believes was in place but is not certain about its legality, combined with a statement that she was not fully relieved of duties during breaks (required to carry phone/radio); (2) **missed second meal break** — client reports no second 30-min meal break when working >10 hours, suggesting systematic denial for the nursing staff; (3) **missed rest breaks** — client reports receiving only one 10-min rest break for 6–10 hour shifts (should be two) and only one for shifts >10 hours (should be three); (4) **time rounding** — employer rounds meal/rest period punches via a punch system, and client is uncertain how rounding is calculated, which is a classic PAGA exposure pattern; (5) **pre-clock-in activity** — client required to undergo COVID temperature checks and security screening before clocking in, applied to all employees, constituting potential off-the-clock time; (6) **unreimbursed phone use** — client used personal phone for work with no reimbursement. The wage statement violation potential is moderate given the rounding system and potential missed premium pay entries. The Zaghi & Chrzan PAGA notice (75 affected employees, filed 02/18/2026) corroborates that systemic violations exist at this employer, lending external validation to client's wage/hour allegations.

No paystubs were reviewed — client uploaded two wage statements (document IDs 558933013023 and 558933082023) but these were not produced in this intake package. Paralegal must retrieve and analyze for: OT rate calculation, meal/rest premium entries (§226.7), rounding patterns, pay period regularity, and employer name/address completeness per §226(a).

### Missed Rest Breaks — Lab. Code §226.7 / §512 / IWC Wage Order 5

- **Indicator:** Client reports receiving only 1 of 2 required 10-min rest breaks for 6–10 hour shifts, and only 1 of 3 for shifts >10 hours. Required to carry phone/radio during breaks — not fully relieved of duties. Co-workers reported the same pattern.
- **Strength:** STRONG
- **Certifiable:** Potentially
- **Notes:** Healthcare SNF workers are governed by IWC Wage Order 5. Nursing facilities frequently use on-duty meal break agreements — but rest break waivers are not permitted under California law. If phone/radio carry was uniform policy, this is certifiable as a common question. Need policy documentation and premium pay records.

### Missed Second Meal Break — Lab. Code §512 / §226.7

- **Indicator:** Client reports no second 30-min meal break when working more than 10 hours. This is a clear Lab. Code §512 violation if shifts exceeded 10 hours without a second break being provided or properly waived.
- **Strength:** MODERATE
- **Certifiable:** Potentially
- **Notes:** Requires confirmation of actual shift lengths and whether a valid written second meal break waiver exists. SNF nursing staff routinely work 12-hour shifts, making this a high-frequency exposure. Premium pay (one additional hour at regular rate per missed break per shift) would apply class-wide.

### Time Rounding — Lab. Code §510 / §1194

- **Indicator:** Client confirms employer rounds meal and rest period punch times via a punch system. Client is uncertain of the rounding methodology. Neutral-on-paper rounding that systematically underpays employees is a PAGA-certifiable violation.

- **Strength:** MODERATE
- **Certifiable:** Potentially
- **Notes:** Post-Donohue v. AMN Services (2021), rounding of meal period punches is presumptively unlawful in California. Paralegal must obtain time records and confirm whether rounding favors employer. If so, this is a strong class-wide claim.

#### Off-the-Clock (Pre-Shift) — Lab. Code §510 / §1194 / §204

- **Indicator:** Client required to undergo COVID temperature checks and pass through security line before clocking in. This applied to ALL employees — a uniform, facility-wide policy.
- **Strength:** MODERATE
- **Certifiable:** Yes
- **Notes:** Uniform pre-shift activity applied to all employees is the clearest path to certification. Exposure per employee per day is likely small (5–10 minutes), but across 60–100 employees over a multi-year period, aggregate PAGA exposure is meaningful. Key issue: did the facility compensate for this time?

#### Wage Statement Violations — Lab. Code §226

- **Indicator:** Rounding system combined with potential missing meal/rest premium pay entries creates §226(a) wage statement exposure. If premium wages were owed but not listed on the pay stub, the statement is incomplete.
- **Strength:** MODERATE
- **Certifiable:** Potentially
- **Notes:** Requires paystub review. If premium pay lines are absent where premiums were owed, §226 penalty is \$50 first violation / \$100 subsequent per employee per pay period, capped at \$4,000 per employee. Class-wide this compounds quickly.

#### Expense Reimbursement — Lab. Code §2802

- **Indicator:** Client used personal phone for work with no reimbursement. Required to carry phone during breaks as facility policy.
- **Strength:** WEAK
- **Certifiable:** No
- **Notes:** Small per-employee exposure. Difficult to certify as a class claim without evidence of a uniform written policy. More appropriate as an individual claim add-on. Not a primary PAGA driver here.

#### PAGA Standing — PAGA / Lab. Code §2699

- **Indicator:** Client is an 'aggrieved employee' — employed by defendant during the relevant period and personally subject to the alleged violations. PAGA notice filed by Zaghi & Chrzan (02/18/2026) covers 75 affected employees, which corroborates systemic violations.
- **Strength:** MODERATE
- **Certifiable:** Yes
- **Notes:** Per Adolph v. Uber (2023), PAGA standing survives individual arbitration. However, if Zaghi & Chrzan files a representative action covering the same violations and time period, Smith Law's ability to file a separate PAGA action may be limited. Paralegal must immediately determine whether Zaghi & Chrzan has filed a civil complaint and what claims are included.

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## PROCEDURAL / STRATEGIC ANALYSIS

- **Arbitration agreement:** UNKNOWN. Client states she does not recall signing an arbitration agreement. Given the healthcare industry and small employer profile, an arbitration agreement is possible but not confirmed. Per Adolph v. Uber (2023), PAGA claims survive individual arbitration even if an agreement exists. Individual FEHA claims could be compelled to arbitration. Paralegal must request employment paperwork immediately.
- **Venue:** Los Angeles County Superior Court is the natural venue — employer is in Lomita (LA County), client is in LA County. LA County is plaintiff-friendly for employment class actions. CAFA removal risk is LOW: class is estimated at

60–100 CA employees; aggregate PAGA exposure is unlikely to exceed \$5M given facility size.

- **SOL:** Labor Code claims: 3-year SOL from date of violation (Lab. Code §338). UCL: 4-year SOL (B&P §17200). PAGA: 1-year notice window from most recent violation. Client's employment ran 11/30/2024 – 02/20/2026 — all violations are well within SOL. The Zaghi & Chrzan PAGA notice (02/18/2026) also indicates fresh SOL window. No SOL bar.
  - **Class period:** Proposed class period: 4 years back from filing date for UCL; 3 years for Labor Code claims. Given employer size and single-location operation, the realistic class period likely captures a relatively stable workforce of 60–100 employees with high annual turnover typical in SNF settings.
  - **Competing actions:** ACTIVE CONCERN. Zaghi & Chrzan, LLP filed PAGA Notice LWDA-CM-1158018-26 on 02/18/2026, listing 75 aggrieved employees. This notice was filed two days before client's termination. Paralegal must determine: (1) Has a civil complaint been filed? (2) What specific Lab. Code sections are alleged? (3) Is client covered under that notice as an aggrieved employee? (4) Would a separate Smith Law PAGA filing be duplicative or additive? This is the most significant procedural risk in this matter.
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## CASE ECONOMICS

- **Class size:** Estimated 60–100 employees based on CMS staffing ratios for a 48-bed SNF. Client's W&H form states 'more than 50 employees' in California. Zaghi & Chrzan PAGA notice estimates 75 affected employees. For class purposes, numerosity is likely met (CA threshold: 40+).
  - **PAGA aggrieved group:** All current and former hourly employees within 1 year of PAGA notice filing — estimated 40–75 workers based on Zaghi & Chrzan notice data and facility workforce size.
  - **PAGA penalties:** Initial violation: \$100/employee/pay period. Subsequent violation: \$200/employee/pay period. Assuming 75 aggrieved employees, bi-weekly pay periods, and 1–2 years of violations: rough PAGA penalty exposure =  $\$100 \times 75 \times 26$  pay periods = \$195,000 (initial year, one claim). Multiple Lab. Code violations (breaks, rounding, wage statements, off-the-clock) multiply this exposure significantly — estimated aggregate PAGA exposure range: \$500K – \$1.5M depending on violation frequency and claims pursued.
  - **Rough aggregate exposure:** PAGA penalties: \$500K–\$1.5M (estimate). Wage statement penalties (§226): up to  $\$4,000/\text{employee} \times 75 = \$300\text{K}$  theoretical max. Meal/rest premium pay (§226.7): 1 additional hour at regular rate per missed break per employee. At \$41/hr avg  $\times 75$  employees  $\times$  estimated 3–5 violations/week  $\times 52$  weeks = potentially \$240K–\$400K per violation type. Waiting time penalties (§203): not a significant factor here as client received final paycheck timely. Total rough exposure estimate: **\$1M–\$2.5M**. This is within meaningful settlement range for a small SNF operator.
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## CERTIFIABILITY ANALYSIS

- **Commonality:** PRESENT — the break, rounding, and pre-clock-in policies are alleged to be uniform facility-wide. If a single written policy (or uniform practice) can be established, Rule 23/CCP §382 commonality is met. The Zaghi & Chrzan notice covering 75 employees independently corroborates the existence of common practices.
- **Typicality:** MODERATE CONCERN — Jing Abragan's individual circumstances (constructive termination, BON complaint, supervisor financial dispute, FEHA/whistleblower claims) are atypical of the general nursing workforce. Her wage/hour claims (break violations, rounding) are typical, but the individual overlay creates a typicality risk for class rep purposes. A cleaner co-plaintiff is recommended.
- **Adequacy:** MODERATE CONCERN — Client is willing but emotionally distressed per intake call. Individual FEHA claims create potential conflicts of interest with the class (individual damages vs. class damages may not be perfectly aligned). Smith Law would need to assess whether to bifurcate individual and class representation.
- **Predominance:** MODERATE — For the break, rounding, and off-the-clock claims, common questions (uniform policy?) likely predominate over individual issues. However, if the employer raises individualized defenses (specific break waivers, individual timekeeping records), predominance becomes contested. Single-site operation helps.
- **Manageability:** FAVORABLE — Single-site employer in LA County. Limited geographic scope. Workforce of 60–100 is small and manageable. No multi-state or multi-location complexity.
- **Numerosity:** BORDERLINE — Estimated class of 60–100 exceeds California's flexible numerosity threshold of 40+ for class actions. Zaghi & Chrzan's estimate of 75 aggrieved employees supports numerosity. However, with high SNF

turnover, identifying all class members may require significant payroll discovery.

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## FINAL CLASSIFICATION

### **MODERATE — Viable PAGA/Class indicators; competing action risk requires immediate triage**

This matter has genuine class and PAGA exposure: uniform break violations (missed second meal break, missed rest breaks, phone/radio during breaks), pre-clock-in off-the-clock activity applied to all employees, and a time rounding system — all at a single-site employer with 60–100 workers. The recent Zaghi & Chrzan PAGA notice (02/18/2026, 75 aggrieved employees) independently validates systemic violations. However, the overlap risk from that competing notice is the dominant procedural concern: if a civil complaint has been filed, Smith Law's ability to file a separate PAGA representative action may be constrained. This matter requires immediate paralegal action to determine the status of the Zaghi & Chrzan filing before committing to class/PAGA strategy. The individual plaintiff's atypicality (FEHA/whistleblower claims, termination complexity) further argues against using her as sole class rep.

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## RECOMMENDED ROUTING

ROUTE TO MAY FOR REVIEW — with priority paralegal task to determine Zaghi & Chrzan filing status. If no civil complaint has been filed, or if the claims do not overlap, this is a viable PAGA joinder or independent filing opportunity. If a complaint is active, assess whether client can be added as aggrieved employee plaintiff or whether individual FEHA claims proceed separately under Engine 1.

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## KEY RISKS

- **Competing PAGA Action (Critical)** — Zaghi & Chrzan, LLP filed PAGA Notice LWDA-CM-1158018-26 on 02/18/2026 covering 75 aggrieved employees at this exact employer. If a civil complaint has been filed, a second PAGA action by Smith Law covering the same time period and violations may be barred or duplicative. This is the single most important issue to resolve before proceeding.
  - **Plaintiff Atypicality** — Client's constructive termination, BON complaint, and FEHA/whistleblower claims are highly individualized and could undermine class rep standing. Defense will argue the class rep's situation is unique and not representative of a typical nursing employee.
  - **Small Employer Settlement Capacity** — Allelo & Associates is a single-site, small SNF with estimated annual revenues of \$3M–\$6M. While PAGA penalties in the \$500K–\$1.5M range are achievable, the employer may lack the financial depth for a large settlement without affecting operational viability. Enforcement risk post-judgment is real.
  - **Arbitration Agreement Unknown** — Client does not recall signing an arbitration agreement. If one exists with a class waiver, individual FEHA claims may be compelled to arbitration (though PAGA survives per *Adolph v. Uber*). Clarification needed immediately.
  - **Break Waiver Defense** — Employer may contend that nurses signed valid on-duty meal break agreements under IWC Wage Order 5. If so, the meal break claims may be individually litigated, weakening class certification on that theory. Rest break waivers remain non-waivable under California law regardless.
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## REQUIRED FOLLOW-UP

### Paralegal tasks:

- URGENT: Search LA Superior Court and PACER for any civil complaint filed by Zaghi & Chrzan, LLP or related to LWDA-CM-1158018-26 against Allelo & Associates / Palos Verdes Health Care Center. Determine specific Lab. Code sections alleged.
- Obtain client's full employment file from the termination period: offer letter, signed arbitration agreement (if any), on-duty meal break waiver (if any), employee handbook.

- Retrieve wage statements uploaded by client (document IDs 558933013023, 558933082023) and analyze for: rounding pattern, premium pay entries, pay period regularity, and §226(a) completeness.
- Confirm Allelo & Associates EIN and California Secretary of State entity status (active/suspended) via bizfile.sos.ca.gov.
- Verify actual shift lengths: did client regularly work shifts exceeding 10 hours? Obtain payroll/time records via early discovery or demand letter.
- Confirm whether client received any written meal break waiver to sign at onboarding — this is critical to the meal break claim theory.

#### Attorney items:

- Assess whether to seek joinder with Zaghi & Chrzan PAGA action or file independently — requires review of their PAGA notice scope and any filed complaint.
- Evaluate PAGA notice filing strategy: if Zaghi & Chrzan has not yet filed a civil complaint, assess whether Smith Law should file a PAGA notice now to preserve standing independently.
- Assess bifurcation strategy: individual FEHA/whistleblower claims (Engine 1) vs. class/PAGA wage-hour claims (Engine 2) — these may benefit from separate representation or at minimum separate litigation tracks.
- Evaluate whether a co-plaintiff with longer tenure and no individual termination claims would better serve as primary class rep, with Jing Abragan as individual FEHA plaintiff.
- Consider SFF Candidate status as litigation context: CMS has flagged this facility for chronic health deficiencies — this background may support the narrative of a facility with systemic compliance failures extending to labor law.

## CONFIDENCE SCORE

| Component                 | Confidence                                                  |
|---------------------------|-------------------------------------------------------------|
| Entity identification     | High                                                        |
| Workforce size estimate   | Moderate                                                    |
| PAGA filing history       | High (data retrieved — 1 filing confirmed)                  |
| Wage/hour claim viability | Moderate — W&H form completed but paystubs not yet reviewed |
| Arbitration exposure      | Unknown — client does not recall                            |

**Overall:** Moderate

**Note for May:** Engine 1 (individual FEHA) note: Client has potential whistleblower retaliation claim (reported patient safety violations to the state; termination followed shortly after state survey deficiencies were found at her prior employer). The retaliation timeline is complicated — the protected activity (state complaint) was directed at a different prior facility, not Palos Verdes Health Care Center. Lindsay should assess whether the whistleblower nexus is sufficient for FEHA or Lab. Code §1102.5 at the correct employer. Individual Engine 1 decision is separate and should not be delayed pending Engine 2 PAGA triage.